14 April 2026

Analysis of Hong Kong Private Domestic Rental Trends 2015 - 2025

OUR CONTENTS

01. Project Objective

02. Dataset Introduction

03. Cleansing & Processing

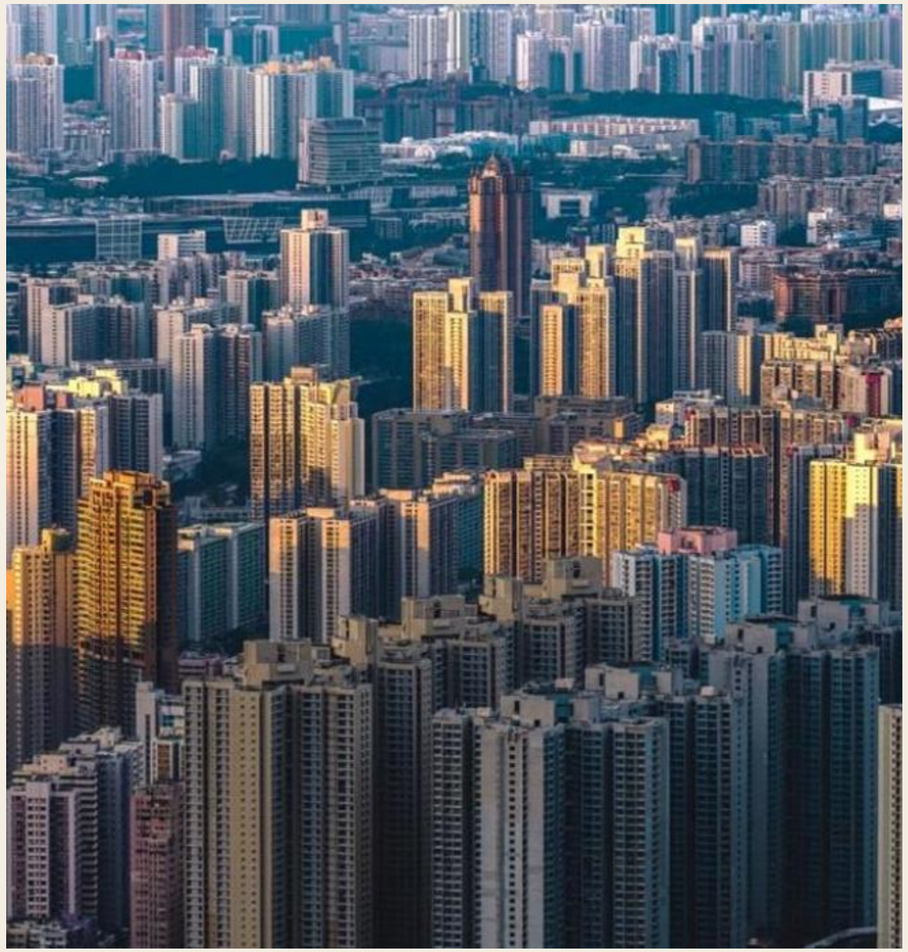
04. Analysis

05. Challenges & Limitations

06. Conclusion

Project Objective

To analyze the rental market trends of private domestic properties in Hong Kong (2015 – 2025) across regions and unit classes, identifying the impact of the pandemic and structural shifts in demand.



Dataset Introduction

Private Domestic - Average Prices by Class - Quarterly (from 1999)

Source: https://data.gov.hk/tc-data/dataset/hk-rvd-tsinfo_rvd-property-market-statistics/resource/b7091915-b49b-4499-82f5-aa0d0902895c)

Dataset Introduction

1. Unit : HKD / sq.m.
2. Scope: Hong Kong Island, Kowloon, and New Territories (Unit Classes A to E)
3. "P" indicates the figure is provisional
4. "Z" indicates the figure is derived from fewer than 20 transactions

Dataset Introduction

Other Notes:

- All figures are in \$ / m^2.
- Class A: saleable area less than 40 m^2.
- Class B: saleable area of 40 m^2 to 69.9 m^2.
- Class C: saleable area of 70 m^2 to 99.9 m^2.
- Class D: saleable area of 100 m^2 to 159.9 m^2.
- Class E: saleable area of 160 m^2 or above.

Dataset Introduction

Rows: 326

Columns: 31

Time Period: Jan 1999 to Feb 2026

Data type: Text & Number

```
<class 'pandas.DataFrame'>
RangeIndex: 326 entries, 0 to 325
Data columns (total 31 columns):
 #   Column                              Non-Null Count  Dtype
---  ------                              --------------  -----
 0   Month                               326 non-null    str
 1   Class A Hong Kong                   326 non-null    int64
 2   Class A Hong Kong - Remarks         3 non-null      str
 3   Class A Kowloon                     326 non-null    int64
 4   Class A Kowloon - Remarks           3 non-null      str
 5   Class A New Territories             326 non-null    int64
 6   Class A New Territories - Remarks   3 non-null      str
 7   Class B Hong Kong                   326 non-null    int64
 8   Class B Hong Kong - Remarks         3 non-null      str
 9   Class B Kowloon                     326 non-null    int64
 10  Class B Kowloon - Remarks           3 non-null      str
 11  Class B New Territories             326 non-null    int64
 12  Class B New Territories - Remarks   3 non-null      str
 13  Class C Hong Kong                   326 non-null    int64
 14  Class C Hong Kong - Remarks         9 non-null      str
 15  Class C Kowloon                     326 non-null    int64
 16  Class C Kowloon - Remarks           13 non-null     str
 17  Class C New Territories             326 non-null    int64
 18  Class C New Territories - Remarks   9 non-null      str
 19  Class D Hong Kong                   326 non-null    int64
...
 29  Class E New Territories             326 non-null    str
 30  Class E New Territories - Remarks   146 non-null    str
dtypes: int64(13), str(18)
memory usage: 79.1 KB
```

Cleansing & Processing

Timeframe Filtering: Extracted data strictly from Nov 2015 to Nov 2025 to analyze a complete 10-year cycle. Provisional data (Dec 2025 onwards) was dropped to ensure accuracy.

```
# Change Month column to datetime format
db['Month'] = pd.to_datetime(db['Month'], format='%b-%y')

# Delete row excluding the period Nov-24 to Oct-25
db = db[(db['Month'] >= pd.to_datetime('Nov-15', format='%b-%y')) & (db['Month'] <= pd.to_datetime('Nov-25', format='%b-%y'))]

# Format Month column to MM-YY string format
db['Month'] = db['Month'].dt.strftime('%m-%y')
```

Cleansing & Processing

Handling Low-Quality Data: The remark “Z” indicates months with fewer than 20 transactions. We converted these into a Boolean flag (`True` / `False`) to highlight data with low reliability during analysis

```
# find all columns with "Remarks" in the name
remark_cols = [col for col in db.columns if re.search(r'Remarks', col, re.IGNORECASE)]

# replace "Remarks" with "< 20 transactions" in those column names
db.rename(columns={col: col.replace('Remarks', '< 20 transactions') for col in remark_cols}, inplace=True)
```

```
# Change Null values to False, and Z to True
db.replace({np.nan: False, 'Z': True}, inplace=True)
```

Result

Rows: 121

Columns: 31

Time Period: Nov 2015 to Nov 2025

Data Types:

- Datetime: Month & Year
- Float/Numeric: Average rent values
- Boolean: Flags for low transaction volumes (< 20 transactions)

```
<class 'pandas.DataFrame'>
RangeIndex: 121 entries, 202 to 322
Data columns (total 31 columns):
 #   Column                                        Non-Null Count  Dtype
---  ------                                        --------------  -----
 0   Month                                         121 non-null    datetime64[us]
 1   Class A Hong Kong                             121 non-null    int64
 2   Class A Hong Kong - < 20 transactions         121 non-null    bool
 3   Class A Kowloon                               121 non-null    int64
 4   Class A Kowloon - < 20 transactions           121 non-null    bool
 5   Class A New Territories                       121 non-null    int64
 6   Class A New Territories - < 20 transactions   121 non-null    bool
 7   Class B Hong Kong                             121 non-null    int64
 8   Class B Hong Kong - < 20 transactions         121 non-null    bool
 9   Class B Kowloon                               121 non-null    int64
 10  Class B Kowloon - < 20 transactions           121 non-null    bool
 11  Class B New Territories                       121 non-null    int64
 12  Class B New Territories - < 20 transactions   121 non-null    bool
 13  Class C Hong Kong                             121 non-null    int64
 14  Class C Hong Kong - < 20 transactions         121 non-null    bool
 15  Class C Kowloon                               121 non-null    int64
 16  Class C Kowloon - < 20 transactions           121 non-null    bool
 17  Class C New Territories                       121 non-null    int64
 18  Class C New Territories - < 20 transactions   121 non-null    bool
 19  Class D Hong Kong                             121 non-null    int64
...
 29  Class E New Territories                       121 non-null    int64
 30  Class E New Territories - < 20 transactions   121 non-null    bool
dtypes: bool(15), datetime64[us](1), int64(15)
memory usage: 17.0 KB
```

Result

	Month	Class A Hong Kong	Class A Hong Kong - < 20 transactions	Class A Kowloon	Class A Kowloon - < 20 transactions	Class A New Territories	Class A New Territories - < 20 transactions	Class B Hong Kong	Class B Hong Kong - < 20 transactions	Class B Kowloon	...	Class D Kowloon	Class D Kowloon - < 20 transactions
202	11-15	430	False	327	False	265	False	391	False	316	...	333	False
203	12-15	433	False	323	False	263	False	379	False	303	...	316	False
204	01-16	432	False	314	False	255	False	365	False	299	...	341	False
205	02-16	407	False	308	False	249	False	361	False	288	...	337	False
206	03-16	396	False	303	False	249	False	353	False	299	...	305	False
207	04-16	385	False	310	False	241	False	355	False	286	...	298	False
208	05-16	398	False	310	False	251	False	364	False	289	...	305	False
209	06-16	419	False	319	False	262	False	375	False	295	...	343	False
210	07-16	427	False	355	False	277	False	383	False	307	...	336	False
211	08-16	429	False	344	False	282	False	377	False	309	...	340	False
212	09-16	422	False	334	False	272	False	377	False	310	...	339	False
213	10-16	422	False	338	False	278	False	379	False	314	...	321	False

Analytical Approach in this EDA

Univariate Analysis

Analyzed the distribution and spread of average rents across different regions using histograms

Bivariate Analysis

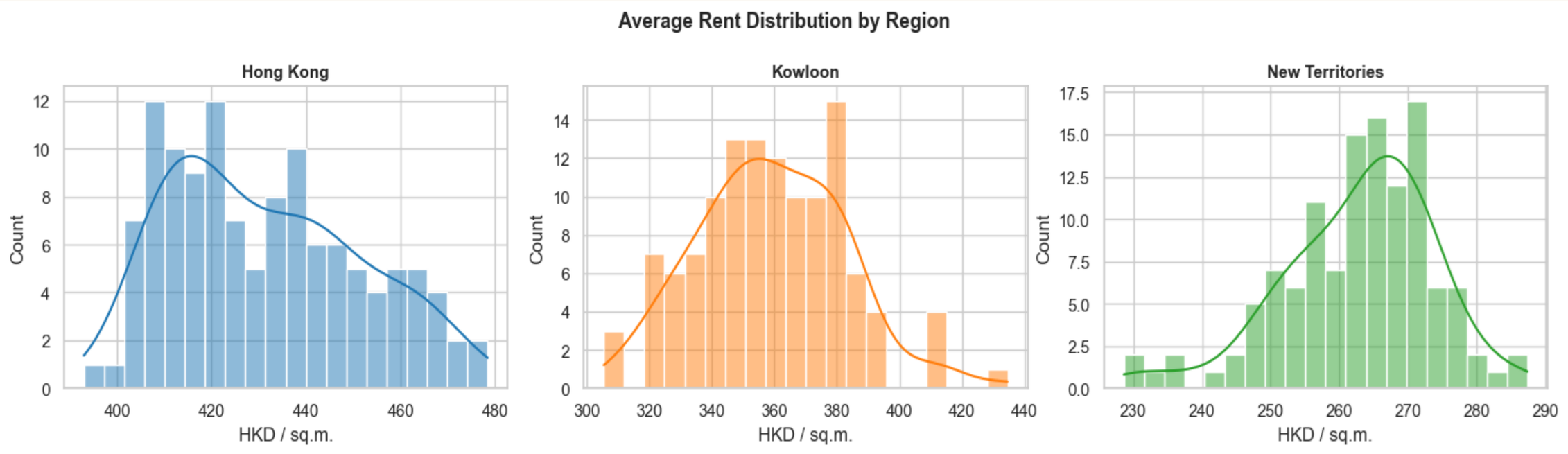
Conducted time-series analysis (Rent vs. Time) and calculated Year-on-Year (YoY) growth to track market volatility

Multivariate Analysis

Compared rent trends across 3 Dimensions: Region*Unit Class (A-E)*Time, identifying which unit types are most resilient

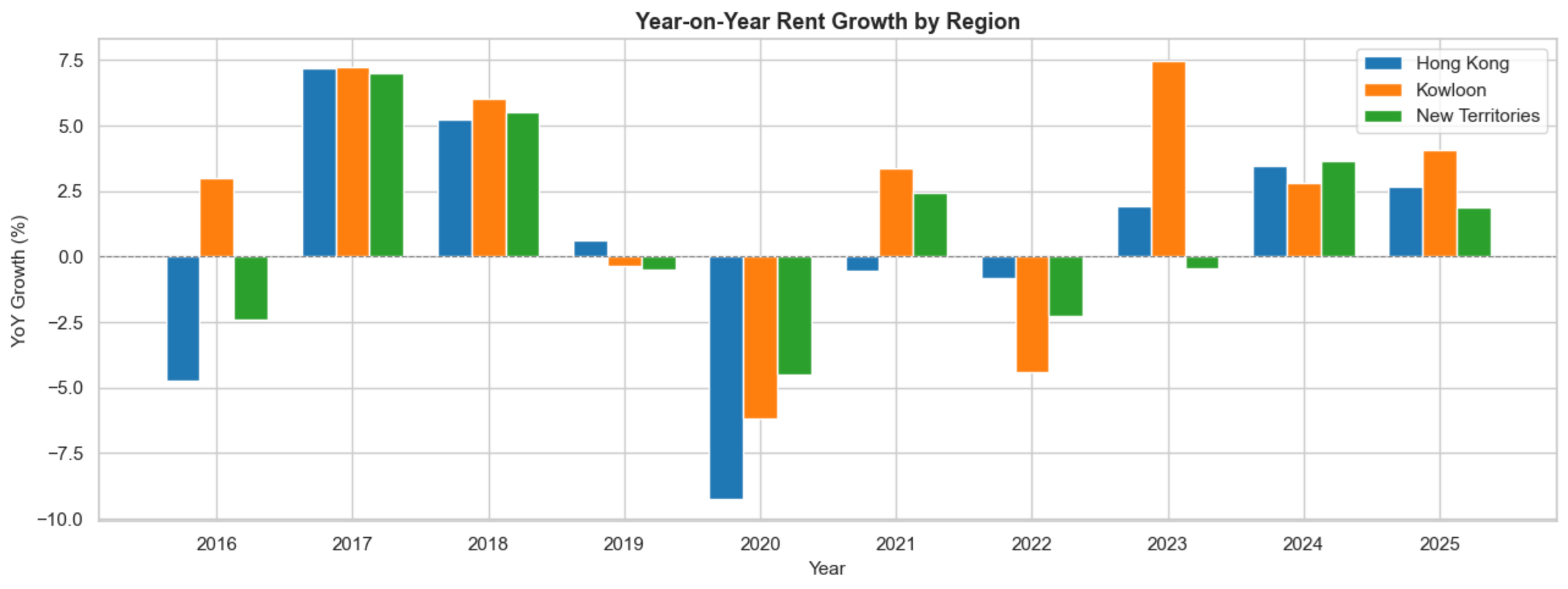
Univariate Analysis

Average Rent Distribution by Region



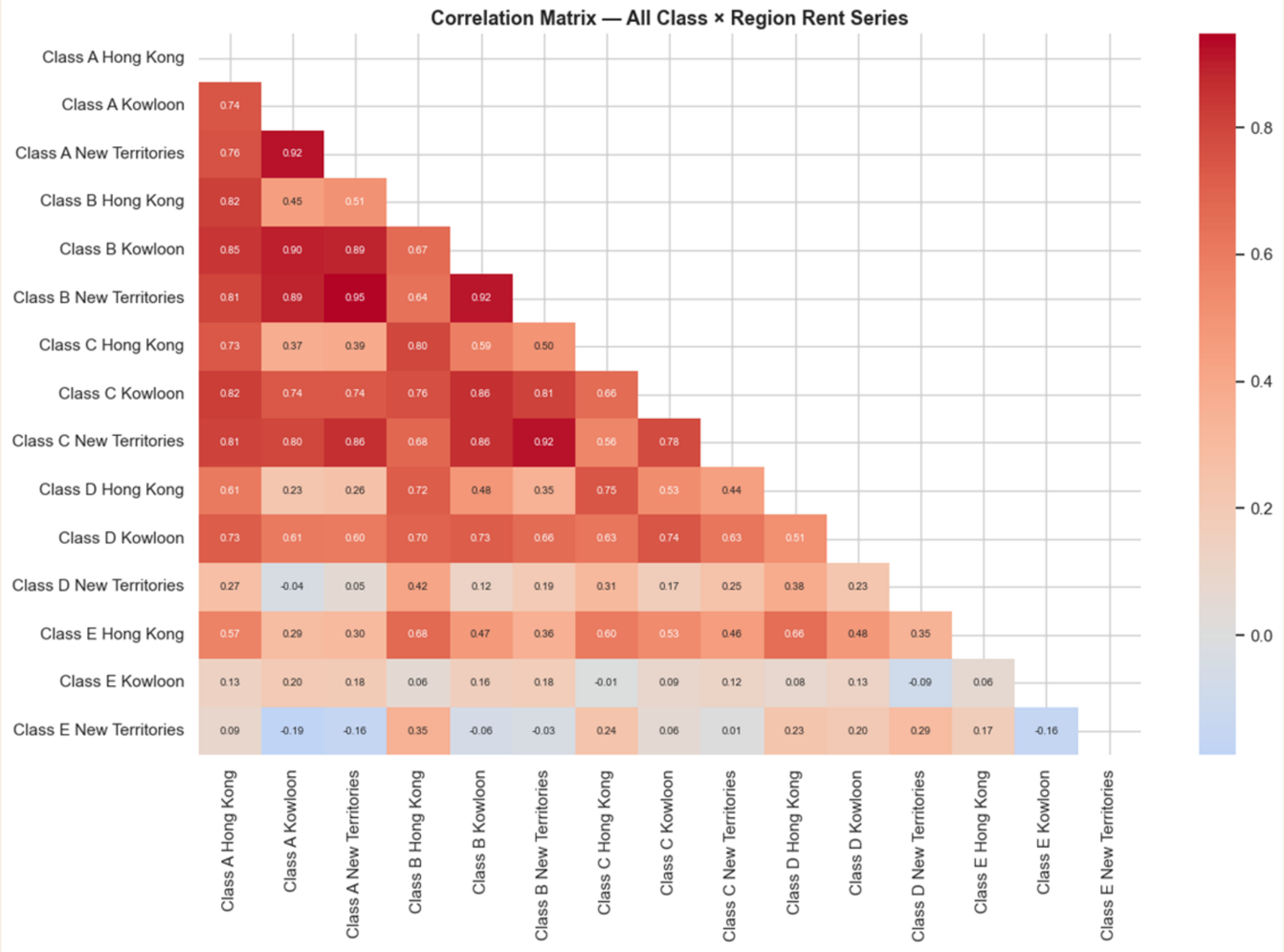
Bivariate Analysis

Year-on-Year Rent Growth By Region



Multivariate Analysis

Correlation Matrix – All Class x Region Rent Series



Challenges & Limitations

- Data Reliability in Luxury Units: Class E units in Kowloon and New Territories have “Less than 20 transactions” in almost all months, limiting the reliability of analysis for those specific categories
- Lack of Granularity: Data is aggregated by broad regions (e.g., “Kowloon”). It masks district-level micro-trends (e.g., Kai Tak vs. Sham Shui Po)
- Omitted Variables: The dataset lacks external factors (interest rates, unemployment, population inflow), restricting us to descriptive rather than causal analysis

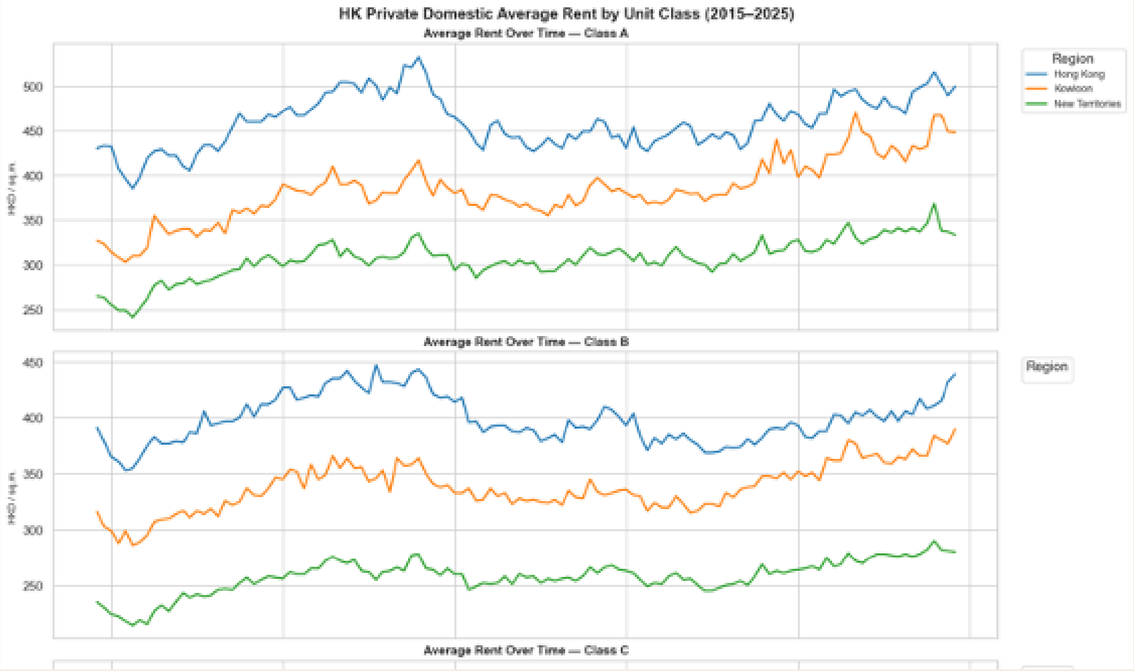
Conclusion

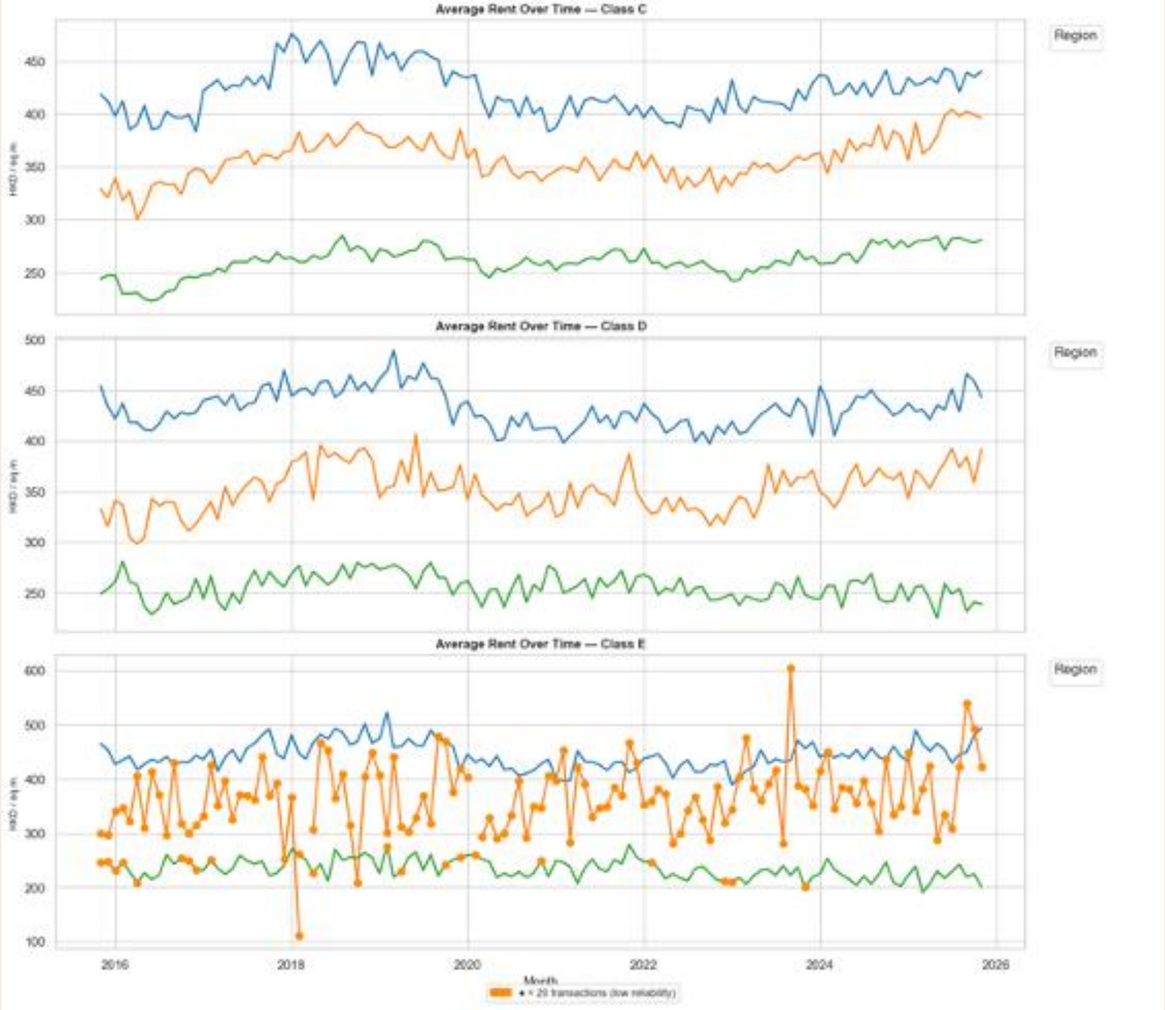
- Market Volatility: The HK rental market was heavily impacted by the 2020 pandemic (-7.1% YoY drop) but has successfully entered a steady recovery phase (+3% YoY)
- Structural Geographic Shift: The rent gap between HK Island and Kowloon is closing fast, reflecting Kowloon’s rising attractiveness and decentralization
- Affordability Dictates Demand: Small units (Class A) outperform luxury units (Class E) across all regions, proving that affordability is the primary market driver
- Future Outlook: Supported by talent inflow and stabilizing interest rates, mass-market rental demand will remain strong, while luxury rentals may experience slower growth

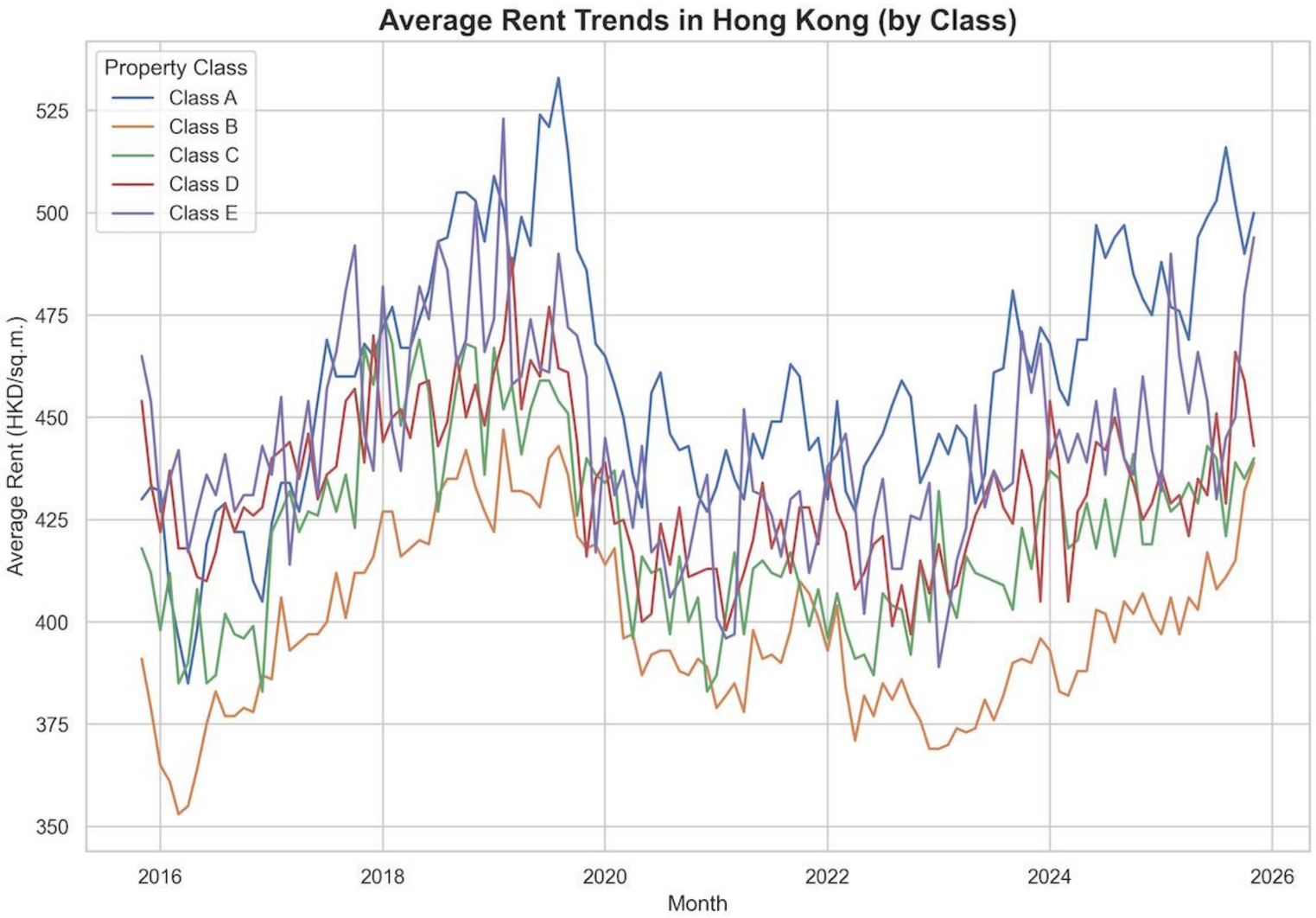
14 April 2026

THANK YOU

Thanks For Watching


HK Private Domestic Average Rent by Unit Class (2015–2025)
Average Rent Over Time — Class A
Average Rent Over Time — Class B
Average Rent Over Time — Class C
Region
Hong Kong
Kowloon
New Territories
HKD / sq.m


Average Rent Over Time — Class C
Average Rent Over Time — Class D
Average Rent Over Time — Class E
Region
HKD / sq.m
Month
2016
2018
2020
2022
2024
2026


Average Rent Trends in Hong Kong (by Class)
Property Class
Class A
Class B
Class C
Class D
Class E
Average Rent (HKD/sq.m.)
525
500
475
450
425
400
375
350
2016
2018
2020
2022
2024
2026
Month